Northwind Robotics, Inc. - Fiscal 2024 Annual Report (FICTIONAL SAMPLE)

Letter to Shareholders

Fiscal 2024 was a year of disciplined growth. Net revenue reached $1,284 million, up 18% from $1,088 million in fiscal 2023. Growth was led by our Warehouse Automation segment, which grew 27% to $742 million.

Operating income was $193 million, an operating margin of 15.0%, compared with $141 million (13.0%) in fiscal 2023. Net income was $148 million, or $2.31 per diluted share, versus $104 million, or $1.63 per diluted share, in the prior year.

Segment Results

Warehouse Automation: revenue $742 million (fiscal 2023: $584 million).
Segment operating margin improved to 19.4% from 16.8% on higher software attach.
Industrial Arms: revenue $398 million (fiscal 2023: $381 million), up 4%.
Services and Software: revenue $144 million (fiscal 2023: $123 million), up 17%.
Recurring software revenue represented 31% of Services and Software revenue.

Cash Flow
Operating cash flow was $221 million. Capital expenditures were $64 million, resulting in free cash flow of $157 million, exceeding net income due to favorable working capital and $38 million of non-cash stock compensation.

Risk Factors

Supply chain: we rely on two suppliers for precision servo motors; a disruption could delay shipments for up to two quarters.
Customer concentration: our largest customer accounted for 14% of revenue (fiscal 2023: 11%).
Foreign exchange: 38% of revenue is denominated in euros and yen.

Fiscal 2025 Outlook
Management expects net revenue of $1,450 to $1,500 million and an operating margin of 15.5% to 16.5%. Capital expenditures are expected to be about $80 million as we expand the Monterrey assembly facility.